

25STCV13347 25STCV13347

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Case Number: 25STCV13347 Hearing Date: July 13, 2026 Dept: 512

DATE: Mon., July 13, 2026 JUDGE /DEPT: Mkrtchyan/512

CASE NAME: Vazquez, et al. v. 7th & Witmer,

L.P. et al. COMPL. FILED: 05-07-25

CASE NUMBER: 25STCV13347 XCOMPL

FILED: 12-19-25

NOTICE: OK

PROCEEDINGS: MOTION

FOR LEAVE TO FILE A FIRST AMENDED CROSS-COMPLAINT; MOTION TO BIFURCATE TRIAL OR
CONTINUE TRIAL

MOVING PARTY: Cross-Defendants/Cross-Complainants

Brook Financial Corporation and Tom Y. Lee

RESP. PARTY: Cross-Complainant 7th & Witmer

Investor, LLC; Cross-Complainant/Cross Defendant Riverside Manager, LLC; and

Cross-Defendant Berkadia Affordable Housing West Coast Partners 2021 LP

MOTION FOR LEAVE TO AMEND; MOTION TO BIFURCATE TRIAL OR CONTINUE TRIAL

(CCP §§ 473(a), 598, 1048)

TENTATIVE RULING:

Cross-Defendants/Cross-Complainants

Brook Financial Corporation and Tom Y. Lee's Motion for Leave to File First Amended Cross-Complaint is GRANTED.

Cross-Defendants/Cross-Complainants
are to file the First Amended Cross-Complaint within 10 days of this order.

Cross-Defendants/Cross-Complainants
Brook Financial Corporation and Tom Y. Lee's Motion to Bifurcate Trial of Cross-Actions from Complaint in Chief is DENIED WITHOUT PREJUDICE.

Moving parties are ordered
to give notice.

SERVICE:

☒ Proof of Service Timely Filed (CRC, rule 3.1300) OK

☒ Correct Address (CCP §§ 1013, 1013a) OK

☒ 16/21 Court

Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITIONS: Filed

on June 29, 2026 ☐

Late ☐ None

REPLIES: Filed

on July 6, 2026 ☐

Late ☐ None

ANALYSIS:

I.

Background

On May 7, 2025, Plaintiffs Nereida

Vazquez, Ryan Cranford, Kassandra Montes, Cindy Fernandez Florencia Duran,
Joseph McMenimen, Alula Tsadik, Shana Hauanio, Alisha Lucero, Rachel Botello,
Samantha Martinez, Nathaniel Layne, Debra Matters, Joanne Sullivan, Amanda
"Anthony" Padilla, Donald Trahan, Andrew Amer, Mario Reid, Virginia Narvaez,

Richard Mclay, Deshan Lawrence, Adam Collras, and Susan Hall ("Plaintiffs") filed the instant action against Defendants 7th & Witmer, L.P. ("7th & Witmer"); FPI Management, Inc. ("FPI"); Vista West Properties, Inc.; Trillium Property Management, Inc.; and St. Joseph Center ("Defendants") and Doe 1-20, alleging nine causes of action regarding "severe and ongoing habitability violations at 697 S. Whitmer St., Los Angeles, California 90017 (the 'Property'), a permanent supportive housing ('PSH') building just west of Downtown Los Angeles." (Compl., pp. 1-2.)

On December 19, 2025, Cross-Defendants and Cross-Complainants Brook Financial Corporation and Tom Y. Lee ("Moving Parties") filed a Cross-Complaint for Equitable Indemnity, Apportionment of Fault, Breach of Fiduciary Duty, and Declaratory Relief against Deep Green Housing and Community Development; Viviendas Verde, LLC; Vista West Properties, Inc.; St. Joseph's Center; and Solari Enterprises, Inc., and Zoes 1-20.

On May 27, 2026, Moving Parties filed the instant Motion for Leave to File First Amended Cross-Complaint ("FACC") (the "FACC Motion") and Motion to Bifurcate Trial of Cross-Actions from Complaint in Chief or, In the Alternative, To Continue Trial (the "Bifurcation Motion") and requests for judicial notice.

On June 18, 2026, the Court granted Moving Parties' Ex Parte Application and advanced the hearing dates on the FACC Motion and Bifurcation Motion. (6/18/26 Order.) That same day, Moving Parties filed and served Notice of Ruling.

On June 29, 2026, 7th & Witmer, Riverside Manager, LLC ("Riverside"), and Berkadia Affordable Housing West Coast Partners 2021 LP ("Berkadia") ("Opposing Parties") filed Oppositions to the FACC Motion and Bifurcation Motion and requests for judicial notice.

On July 6, 2026, Moving Parties filed Replies to the FACC Motion and Bifurcation Motion and objections to the declarations filed in support of the Oppositions.

II.

Requests
for Judicial Notice

As to the FACC Motion, Moving Parties request the Court take judicial notice of various documents filed in the instant matter. (FACC Motion, RJN, pp. 2-4, Exhs. 1-18.) The Court GRANTS these requests pursuant to Evidence Code section 452, subdivision (d).

As to the Bifurcation Motion, Moving Parties request the Court take judicial notice of various documents filed in the instant matter. (Bifurcation Motion, RJN, pp. 1-2, Exhs. 1-4.) The Court GRANTS these requests pursuant to Evidence Code section 452, subdivision (d).

Opposing Parties request the Court take judicial notice of various documents filed in the instant matter. (Bifurcation Opp., RJN, p. 3, Exhs. A-C.) The Court GRANTS these requests pursuant to Evidence Code section 452, subdivision (d).

III.

Evidentiary
Objections

Moving Parties raise various objections to the Valentine declarations filed in support of both the Bifurcation Opposition and FACC Opposition. All objections are OVERRULED.

IV.

Discussion

A. Motion for Leave to File FACC

In the Motion, Moving Parties seek leave to file a FACC “to plead the complete cross-claims arising from the same cross-action controversy that 7th & Witmer Investor, LLC and Riverside Manager, LLC placed at issue by their cross-complaint against Brook and Lee; to identify and add responsible cross-defendants, including Berkadia Affordable Housing West Coast Partners 2021, L.P., 7th & Witmer, L.P., 7th & Witmer Investor, LLC, Trillium, FPI, and Riverside Manager, LLC; and to clarify and plead the distinct contract, fiduciary, accounting, declaratory-relief, and fiduciary duty issues, inter alia, that are not part of Plaintiffs’ tenant complaint in chief.” (FACC Motion, p. 1.) Moving Parties contend there is no prejudice to other parties given that the trial date is four months away; minimal discovery has occurred regarding the cross-actions in this matter; and the cross-action pleadings are

not fully at issue. (FACC Motion, pp. 6-7, Harbison Decl., pp. 6-7.) In support of the FACC Motion, Moving Parties submit a declaration from counsel and copies of the Proposed FACC. (FACC Motion, Harbison Decl.)

In Opposition, Opposing Parties contend that the FACC Motion should be denied as it is a sweeping amended pleading “that would significantly transform this litigation five months before trial.” (FACC Opp., p. 1.) Opposing Parties state the proposed amendment is futile as to the claims against Berkadia; the proposed amendment improperly attempts to ratify Moving Parties’ April 2026 Zoe Amendments; the information justifying amendment was known well in advance to the instant motion and thus Moving Parties ignorance is feigned; and existing parties would be prejudiced by the amendments. (FACC Opp., pp. 1-2, 5-12, Valentine Decl.)

In Reply, Moving Parties state the Opposition is an improper attempt to “adjudicate the merits of the proposed pleading, resolve contested facts on an attorney declaration, and pre-try a Code of Civil Procedure section 474 dispute that is not before the Court.” (FACC Reply, p. 1.)

Legal Standard

A party may amend its pleading once without leave of court at any time before the answer, demurrer, or motion to strike is filed. (Code Civ. Proc., § 472.)

Leave

to amend is permitted under Code of Civil Procedure section 473, subdivision (a), which states: “The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code.”

“Although courts are bound to apply a policy of great liberality in permitting amendments to the complaint at any stage of the proceedings, up to and including trial [citations], this

policy should be applied only 'where no prejudice is shown to the adverse party . . . [citation]. A different result is indicated 'where inexcusable delay and probable prejudice to the opposing party' is shown. [Citation]." (Magpali v. Farmers Group (1996) 48 Cal.App.4th 471, 487.)

A

motion for leave to amend a pleading must also comply with the procedural requirements of California Rules of Court, Rule 3.1324, which requires that a motion to amend must: "[i]nclude a copy of the proposed... amended pleading... [and] state what allegations in the previous pleading are proposed to be [deleted and/or added], if any, and where, by page, paragraph, and line number, the [deleted and/or additional] allegations are located." (Cal. Rules of Court, rule 3.1324(a).)

A motion for leave to

amend a pleading must also include "[a] separate declaration must accompany the motion and must specify: (1) The effect of the amendment; (2) Why the amendment is necessary and proper; (3) When the facts giving rise to the amended allegations were discovered; and (4) The reasons why the request for amendment was not made earlier." (Cal. Rules of Court, rule 3.1324(b).)

Analysis

Here, the FACC Motion includes a supporting declaration and copy of the proposed FACC. (FACC Motion, Harbison Decl., Exhs. G, I.)

The Court finds the FACC Motion complies with California Rules of Court, rule 3.1324(a). The FACC Motion includes a copy of the proposed FACC – both a redlined copy and a clean copy – and sets forth the allegations to be added and/or deleted in a chart attached to the Harbison declaration. (FACC Motion, Harbison Decl., Exhs. G, I, J.)

Further,

the Court is satisfied with the declaration accompanying the FACC Motion. The declaration addresses each requirement of California Rules of Court, rule 3.1324. (FACC Motion, Harbison Decl.) Indeed, the declaration states the proposed FACC adds additional cross-defendants, adds causes of action, and clarifies causes of action; the amendment is

necessary and proper to plead all cross-claims against existing and newly added parties and thus adjudicate all disputes in one action; the factual basis for the amendments were not originally included in the Cross-Complaint because discovery and further investigation by Harbison revealed the pertinent information, and certain parties did not appear and/or were not named in the action until December 2025; there has been no undue delay in bringing this Motion, and any delay was due to the time required by counsel to prepare and file the instant FACC Motion and to connect with the client who was travelling abroad; and there is no prejudice to existing parties as minimal discovery has occurred regarding the cross-claims, the cross-action is not yet fully at issue, and all cross-defendants will have ordinary time to respond to the FACC prior to trial. (FACC Motion, Harbison Decl., ¶¶ 1-19.)

To the extent Opposing Parties contend they are prejudiced by the Court's granting of the FACC Motion, the Court disagrees. Should Opposing Parties need more time to prepare for trial, there are legal vehicles available to raise such concerns. Further, Opposing Parties' arguments regarding the merits of the FACC are improperly raised in an opposition to a motion for leave to amend and should be raised in a separate kind of motion used to attack the sufficiency of a pleading. Finally, Opposing Parties' contention that an amended pleading is an improper ratification of Zoe defendants is unpersuasive and unsupported. Accordingly, the Court does not find that Opposing Parties have adequately shown they will be prejudiced by a FACC being filed at this juncture in the proceedings. (See Magpali, supra, 48 Cal.App.4th at p. 487.)

Thus, the Motion is
GRANTED.

B. Motion to Bifurcate or Continue Trial

Moving Parties request bifurcation of trial of the cross-actions from Plaintiffs' complaint in chief. (Bifurcation Motion, pp. 1, 6-9.) Moving Parties allege bifurcation is appropriate because the Complaint and cross-actions are factually and legally distinct; a combined trial would create unfair prejudice, jury confusion, and undue consumption of time; separate trials will promote expedition and economy; and the complexity of the cross-actions support bifurcation. (Bifurcation Motion, pp. 6-9.)

In Opposition, Opposing

Parties state the Bifurcation Motion is moot and should have been taken off calendar because the parties have settled regarding the claims in the Complaint. (Bifurcation Opp., pp. 5-7.) Opposing Parties state Moving Parties were informed of the settlement and yet failed to take the instant motion off calendar. (Bifurcation Opp., pp. 5-7.) Moreover, even if the Bifurcation Motion is not moot, Opposing Parties argue that bifurcation would needlessly delay the trial, and the alternative request for a trial continuance buried in the Bifurcation Motion is inappropriate and should be denied. (Bifurcation Opp., pp. 7-8.)

In Reply, Moving Parties contend

that the Bifurcation Motion is not moot given that the settlement is not final – “no notice of settlement, and not even a notice of conditional settlement, has been filed or served. The tenant claims therefore remain live on the docket and set for the November 9, 2026 trial. A motion is not moot where the Court can still grant the effective relief, and here it plainly can: it can order the remaining trial structured and set a workable schedule for cross-actions.” (Bifurcation Reply, pp. 1-2.) Further, even if the tenant claims in the Complaint settled, Moving Parties state the Bifurcation Motion would not be moot given that the claims in the Complaint are separate and distinct from the cross-claims in this action. (Bifurcation Reply, pp. 2-3.) The cross-claims are not fully at issue, and cross-action discovery and expert work are materially different and incomplete. (Bifurcation Motion, pp. 3-4.) Moving Parties also assert the Bifurcation Motion provides separate justification for a trial continuance, and the Opposition fails to substantively address all points raised in the Bifurcation Motion, thus conceding the Bifurcation Motion's accuracy on those points. (Bifurcation Reply, pp. 4-5.)

Legal Standard

Bifurcation

Upon a properly noticed

motion of a party made no later than the close of pretrial conference, or in other cases, no later than 30 days before the trial date, a court may bifurcate a trial into separate issues when the convenience of witnesses, the ends of justice, or the economy and efficiency of handling the litigation would be promoted thereby. (Code Civ. Proc., § 598.) “The court, in furtherance of convenience or to avoid prejudice, or when separate trials will

be conducive to expedition and economy, may order a separate trial of any cause of action, including a cause of action asserted in a cross-complaint, or of any separate issue or of any number of causes of action or issues, preserving the right of trial by jury required by the Constitution or a statute of this state or of the United States.” (Code Civ. Proc., § 1048, subd. (b), emphasis added.) The court has broad discretion to order a severance of trials. (See *National Electric Supply Co. v Mt. Diablo Unified School Dist.* (1960) 187 Cal.App.2d 418, 421; see also *Grappo v. Coventry Fin. Corp.* (1991) 235 Cal.App.3d 496, 504.)

Trial Continuance

California Rules of Court, Rule

3.1332, subdivision (c) states: “Although continuances of trials are disfavored, each request for a continuance must be considered on its own merits. The Court may grant a continuance only on an affirmative showing of good cause requiring the continuance.” Circumstances that may indicate good cause include: the excused unavailability of a party, trial counsel, or witness; the substitution of trial counsel if the substitution is required in the interests of justice; the addition of a new party in certain circumstances; a party’s excused inability to obtain essential testimony, documents, or other material evidence despite diligent efforts; or a significant, unanticipated change in the status of the case. (Cal. Rules of Court, rule 3.1332, subd. (c)(1)-(7).)

The Court may also

look to the following factors in determining whether a trial continuance is warranted: (1) proximity of the trial date; (2) whether there was any previous continuance, extension, or delay of trial due to any party; (3) the length of the continuance requested; (4) the availability of alternative means to address the problem that gave rise to the motion; (5) the prejudice that parties or witnesses will suffer as a result of the continuance; (6) if the case is entitled to preferential trial setting; (7) the court’s calendar; (8) whether trial counsel is engaged in another trial; (9) whether all parties have stipulated to the continuance; (10) whether the interests of justice are best served by the continuance; and (11) any other fact or circumstance relevant to the fair determination of the motion or application. (See generally Cal. Rules of Court, rule 3.1332, subd. (d)(1)-(11).)

Analysis

The

issue raised in the Bifurcation Motion and before the Court is substantively whether the Court should bifurcate (1) liability from the issues of damages and indemnification related to the Complaint's allegations and (2) the causes of action raised in the Complaint that are different in kind than the causes of action raised in the cross-actions.

As an initial matter, the Court finds there is some evidence of potential or actual settlement of the claims raised in the Complaint based on the declaration accompanying the Bifurcation Opposition. (See Bifurcation Opp., Valentine Decl., ¶¶ 2-3.) Given the opposition does not affirmatively reject that a settlement exists as to the Complaint, the Court finds at least some of the reasoning for the motion to bifurcate is moot as to the merits of the request.

The Court

further finds that a Motion to bifurcate at this juncture is premature. First, between now and currently scheduled trial date on November 9, 2026, the pleadings of the case, named parties, and the status of the case, including the cross-complaints, may change. Thus, based on the variable circumstances, the Court is not satisfied with the evidence that bifurcation would promote judicial efficiency and would not prejudice Opposing Parties' case. It is also premature to assume that the witnesses required to establish liability and/or the other causes of action in Cross-Complaint would not be duplicative to determine damages and indemnification in any significant way.

Additionally, the

Court finds that insufficient information has been provided to the Court to make the finding that there is some risk that jury may confuse the issue of liability with the damages and indemnification issues, including that the cross-complaints should be tried separately, causing prejudice to the underlying action.

While

the Court acknowledges the parties have strategic reasons for wanting or opposing the Bifurcation Motion, the Court finds that it is premature to determine that bifurcation would promote judicial efficiency and the interests of justice to order that the trial is bifurcated.

Thus, the Bifurcation Motion's request to bifurcate trial between the

action and cross-actions is DENIED WITHOUT PREJUDICE.

With respect to alternative request to continue the trial date, the Court does not find that good cause has been demonstrated in the moving papers at this time. Moving party may file a separate motion in compliance with California Rules of Court, rule 3.1332.

Based on the foregoing, the Bifurcation Motion is DENIED WITHOUT PREJUDICE.

C. Conclusion & Order

For the foregoing reasons,
Cross-Defendants/Cross-Complainants Brook Financial Corporation and Tom Y. Lee's Motion for Leave to File First Amended Cross-Complaint is GRANTED.

Cross-Defendants/Cross-Complainants
are to file the First Amended Cross-Complaint within 10 days of this order.

Cross-Defendants/Cross-Complainants
Brook Financial Corporation and Tom Y. Lee's Motion to Bifurcate Trial of Cross-Actions from Complaint in Chief is DENIED WITHOUT PREJUDICE.

Moving parties are ordered
to give notice.